

KGP Vibes Café

Annual Earnings Report – FY 2025

Address: Mumbai, India

1. Executive Summary

KGP Vibes Café, established in 2025, is a tech-themed café designed for students, developers, and young professionals in Mumbai. The café combines strong thematic branding with high-margin beverage offerings and affordable comfort food.

FY2025 marked the first full year of operations, showing strong traction driven by repeat customers, evening footfall, and a differentiated menu.

Key Highlights:

- Total Revenue: \$1,51,00,000
- Net Profit: \$32,20,000
- Net Margin: 21.3%
- Break-even achieved in Month 5

2. Business Model Overview

KGP Vibes Café operates on a beverage-first model supported by food add-ons.

Core Strategy:

- High-margin coffee and beverages
- Mid-margin snacks and meals
- Fast-moving low-cost items (chai, Maggi, cookies)

Revenue growth is driven by high repeat customers and strong evening demand.

3. Revenue Breakdown

Category	Revenue (\$)	% Contribution
Coffee & Beverages	78,00,000	51.7%
Snacks & Quick Bites	51,50,000	34.1%
Meals	15,70,000	10.4%
Desserts & Others	5,80,000	3.8%
Total	1,51,00,000	100%

Insight: Coffee drives majority revenue, especially cold brew and chai.

4. Monthly Revenue Trend

Month	Revenue (\$)
Jan	8,20,000
Feb	9,40,000
Mar	11,70,000
Apr	12,80,000
May	13,90,000

Month	Revenue (\$)
Jun	14,60,000
Jul	15,20,000
Aug	15,90,000
Sep	17,00,000
Oct	17,80,000
Nov	18,70,000
Dec	16,50,000

Insight: Strong growth with slight seasonal dip in December.

5. Cost Structure

Cost Head	Annual Cost (\$)	% of Revenue
Raw Materials	48,00,000	31.8%
Salaries	35,00,000	23.2%
Rent	18,00,000	11.9%
Utilities	6,50,000	4.3%
Marketing	5,00,000	3.3%
Miscellaneous	3,30,000	2.2%
Total Costs	1,15,80,000	76.7%

6. Profitability Analysis

- Gross Profit: \$1,03,00,000
- Operating Profit: \$45,20,000
- Net Profit: \$32,20,000

Margins:

- Gross Margin: 68.2%
- Operating Margin: 29.9%
- Net Margin: 21.3%

Strong margins are driven by beverage-heavy sales and efficient operations.

7. Unit Economics

Metric	Value
Avg Order Value	\$280
Daily Customers	120
Monthly Orders	~3,600
Repeat Rate	64%

Customers typically order beverages with add-ons, increasing ticket size.

8. Customer Insights

- Peak Hours: 6 PM – 11 PM
- Students: 60%
- Working Professionals: 30%
- Others: 10%

Late-night demand significantly boosts revenue.

9. Marketing Performance

- Instagram & reels: 45% new customers
- Word-of-mouth: 35%
- Offline branding: 20%

Collaborations with tech communities improved visibility.

10. Future Growth Plan

- Open 2 new outlets in Mumbai
 - Launch subscription coffee plans
 - Expand menu with healthy options
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11. Conclusion

KGP Vibes Café has demonstrated strong first-year performance with healthy margins and consistent growth. With a scalable model and strong brand identity, the café is well-positioned for expansion in Mumbai.